

INDUSIND BANK

BURIED IN THE DETAILS

IndusInd Bank faces RBI scrutiny as leadership tensions, governance concerns, and potential penalties mount. With stricter regulations in play, its future—and broader banking oversight—hangs in balance

BY RAGHU MOHAN

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In 2023, Sumanth Kathpalia, the bank's managing director (MD) and chief executive officer (CEO) got a shorter two-year extension from the RBI. Speculation was rife that Mint Road may not oblige with another extension, especially after the bank's chief financial officer (CFO) Gobind Jain resigned on January 17. In early March, Mint Road gave him another one-year life-line, despite the board requesting a three-year appointment.

The bank's board backed its CEO, but the regulator thought

UNDER THE SCANNER

Beyond leadership concerns, the IndusInd Bank case could mark a shift in RBI's enforcement approach

